WAVERLEY GATEWAY GUIDE

Connecting International Capital

TONGA

Oceania

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Nuku'alofa (Tongatapu)	Capital and commercial centre, home to the government, the National Reserve Bank of Tonga, the main port and most businesses and visitors	Trade and distribution, financial services, tourism, construction
Fanga'uta Lagoon Bridge corridor	A 720-metre, $97 million bridge funded by World Bank and ADB grants, the largest infrastructure project in Tonga's history, adding a tsunami evacuation route for the capital	Construction, engineering, resilient infrastructure
Fua'amotu International Airport (Tongatapu)	Main international gateway, with air links to New Zealand, Australia and Fiji serving a visitor base led by New Zealand, Australia and the United States	Aviation services, tourism, logistics
Vava'u	Northern island group and leading leisure destination, known for yachting, whale-watching and cruise calls	Eco-tourism, marine tourism, hospitality
Ha'apai and 'Eua	Outer island groups with small-scale tourism, agriculture and fisheries, supported by subsidised inter-island shipping	Eco-tourism, agriculture, renewable mini-grids
Tonga's Exclusive Economic Zone	Large ocean area supporting tuna and other marine exports, which recovered strongly in late 2024	Fisheries, seafood processing, marine resources
Agricultural belt (Tongatapu and Vava'u)	Source of squash, root crops, kava and vanilla, with a HACCP-certified packhouse funded in the 2026/27 budget	Agriculture, agro-processing, export packing

INVESTOR ENTRY ROUTES

- Ministry of Trade and Economic Development, whose Chief Executive acts as Registrar of Foreign Investment, the first point of contact for foreign investors
- Foreign Investment Act 2020: overseas investors may do business in Tonga after obtaining a registration certificate, with decisions due within five working days, and only short reserved and restricted lists set by regulation
- Investor protections in the Act: no expropriation without due process and full, timely compensation; transfer of capital and income abroad, subject to tax and exchange-control laws; and the ICSID Convention given the force of law

- Tax regime: 25% corporate income tax, 15% consumption tax and 15% withholding tax on dividends, interest and royalties
- Land: foreigners cannot buy land, which is held under the Crown and noble estates system, so projects use registered leases
- Currency: the pa'anga, managed by the National Reserve Bank of Tonga, with the policy rate at 2% and foreign reserves above required thresholds
- Donor-financed projects: World Bank, ADB, Australian, New Zealand, Japanese and EU programmes in energy, transport and resilience create procurement and contracting opportunities

MARKET-ENTRY OBSERVATION

Tonga in November 2026 offers investors a stable constitutional monarchy, a new reform-minded government and strong external buffers. Published figures show real GDP growth of 4.4% in FY2025 as post-eruption reconstruction continued, and the IMF expects growth to moderate in FY2026. Foreign reserves cover about 10½ months of imports, remittances of around $265 million a year support household spending, and tourism is recovering: arrivals in March 2026 were 78.7% higher than a year earlier. Lord Fakafanua, elected Prime Minister on 15 December 2025 at the age of 40, has prioritised a leaner public service, easier dealings for the private sector and a broader tax base. The 2026/27 budget of TOP 949.4 million includes TOP 214.2 million of in-kind support from development partners, alongside renewable-energy, agriculture and tourism-recovery measures.

Tonga's main structural challenge is building resilience in a small, remote economy exposed to natural disasters, emigration and external price shocks. The 2022 Hunga Tonga–Hunga Ha'apai eruption and tsunami caused widespread damage, the IMF rates Tonga at high risk of debt distress, and headline inflation rose to 9.3% in July 2026, above the 5% reference rate. Mitigation is substantial: the government has stopped taking on new loans and plans to clear its China Exim Bank debt, about $67 million, by 2030; grant financing from partners funds most major infrastructure; and the central bank is ready to tighten policy if needed. The Pacific Resilience Facility, with an office in Tonga and $173 million of pledges, adds a regional source of climate finance. For investors, reconstruction, renewable energy towards the 70% target, tourism and fisheries offer clear opportunities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Natural-disaster exposure	Cyclones, earthquakes and the 2022 volcanic eruption and tsunami show the scale of physical risk	Build to resilient standards and insure fully; TOP 32.8 million is budgeted for emergency preparedness, and resilience projects create demand for engineering services
Public debt and fiscal space	The IMF rates Tonga at high risk of debt distress, with China Exim Bank repayments a major call on the budget	Government has ruled out new loans and plans repayment by 2030; most capital projects are grant-funded, lowering sovereign counterparty risk
Inflation and import costs	Headline inflation reached 9.3% in July 2026, driven by imported fuel and food	The central bank stands ready to tighten; local sourcing, solar power and indexed contracts reduce exposure
Land and property rights	Foreigners cannot buy land, and trade-portal assessments describe property-rights enforcement as weak	Use registered leases with clear title checks and local legal advice; partner with landholders or government for project sites
Small market and labour emigration	A small population and steady emigration limit market scale and the supply of skilled staff	Target export and visitor markets; use vocational training initiatives and diaspora links to source skills
US entry restrictions on Tongan nationals	Partial US visa restrictions have applied to Tongans since 1 January 2026, citing visa overstays	The Prime Minister is prioritising negotiations with Washington; plan staff travel via New Zealand and Australia hubs
Administrative capacity	Small institutions can mean slower approvals and limited data	Engage early with the Registrar of Foreign Investment and line ministries; the new government has pledged faster public-

Issue	Potential Impact	Possible Mitigation
		service delivery

INVESTOR RISK NOTE

Tonga's risk profile is that of a politically stable Pacific monarchy with strong reserves, deep partnerships with Australia, New Zealand, Japan and multilateral banks, and a new government committed to faster delivery and private-sector facilitation. The main considerations are physical and fiscal: exposure to cyclones, earthquakes and volcanic activity, a high risk of debt distress as assessed by the IMF, and imported inflation, which reached 9.3% in July 2026. Each is actively managed: the government has stopped new borrowing and is repaying its China Exim Bank loan, grants fund most major infrastructure, reserves cover about 10½ months of imports, and the central bank has signalled readiness to tighten policy. Investors should note that foreigners cannot buy land, that capital transfers are subject to exchange-control rules, and that partial US visa restrictions on Tongan nationals apply. With resilient design, full insurance and early engagement with government, Tonga offers a dependable base for targeted projects in tourism, energy, fisheries and construction.

MARKET ACCESS

Tonga has been a member of the WTO since 2007 and is a party to the PACER Plus regional trade and development agreement with Australia, New Zealand and other Pacific states, and it belongs to the Pacific Islands Forum. Its closest economic ties are with New Zealand, Australia and the United States, which provide most air visitors, most remittances and key markets for squash, root crops, kava, vanilla and tuna. Labour-mobility schemes with Australia and New Zealand are a major source of income and skills. Fua'amotu International Airport and the port at Nuku'alofa connect Tonga with New Zealand, Australia and Fiji, and cruise calls are rising, with 3,030 cruise passengers in March 2026. China remains an important development and trade partner, and Tonga hosts an office of the Pacific Resilience Facility, positioning it within the region's climate-finance architecture.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Lord Fakafanua)	Sets national priorities; the government elected in December 2025 is focused on public-service efficiency, private-sector facilitation and broadening the tax base	Primary reference point for Tonga's strategic direction and major projects
Ministry of Trade and Economic Development (Deputy PM Dr Viliami Latu)	Administers the Foreign Investment Act 2020 and business licensing through the Registrar of Foreign Investment	Standard first point of contact for registration and market entry
National Reserve Bank of Tonga	Central bank managing the pa'anga, exchange controls and bank supervision; policy rate held at 2% with readiness to tighten	Relevant for banking, foreign-exchange and capital-transfer matters
Ministry of Finance and National Planning (Lataifaingata'a Tangimana)	Leads the budget, debt management and donor coordination for the TOP 949.4 million 2026/27 budget	Key counterpart on public finance and donor-funded projects
Ministry of Tourism (Semisi Sika)	Leads tourism recovery and promotion; the minister also holds the infrastructure portfolio	Partner for hotel, resort and tourism-infrastructure investment
Tonga Power Limited	State electricity utility delivering the grid upgrades needed to reach the 70% renewable-energy target	Counterpart for solar, storage and power-purchase opportunities
Ministry of Customs and Inland Revenue	Administers corporate tax, consumption tax and customs, including efforts to phase out exemptions	Relevant for tax registration and incentive planning

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Tonga Chamber of Commerce and Industry is the main private-sector body and engages regularly with government on business conditions. The Asian Development Bank and the World Bank are the largest multilateral partners, financing energy, transport and resilience projects such as the Fanga'uta Lagoon Bridge, while Australia, New Zealand, Japan, the European Union and China provide substantial bilateral support. The Pacific Islands Forum, Pacific Trade Invest offices in Auckland and Sydney, and the Pacific Resilience Facility offer regional networks and co-financing links. The diaspora in New Zealand, Australia and the United States is a valuable source of investment, visitors and introductions.

INVESTOR PROFILE BEST SUITED

Tonga suits investors with a long-term, partnership-based approach and an appetite for small-scale, high-impact projects: renewable-energy and battery developers supporting the 70% renewable target; engineering and construction firms bidding for grant-funded resilience and transport projects; tourism and hospitality investors targeting Vava'u, marine tourism and the growing diaspora and cruise markets; and fisheries and agro-processing businesses serving New Zealand, Australian and US markets. Investors should plan around leasehold land, exchange-control approvals and disaster-resilient design.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Register with the Ministry of Trade and Economic Development
Confirm the activity is not on the reserved or restricted lists and obtain a foreign investment registration certificate before starting business.

STEP 2: Secure land through registered leases
Take local legal advice on lease title and terms, and work with landholders or government to identify suitable sites.

STEP 3: Align with donor-funded programmes
Track ADB, World Bank, Australian, New Zealand and EU tenders in energy, transport and resilience, and explore co-financing.

STEP 4: Plan treasury and tax arrangements
Agree profit-repatriation and foreign-exchange arrangements with the National Reserve Bank of Tonga and model the 25% corporate tax and 15% consumption tax.

STEP 5: Build in disaster resilience
Design to cyclone and seismic standards, insure fully and develop continuity plans for supply and travel disruption.